

Siya, Strand 02 -- The Portfolio

Stamp: STAMP -- taken from the one clock at seating, never typed by counsel

Language: EN

Style: New Gauge, Door setting -- Civic and TAME carried through, in plain words for Sara and Keaton

Voice: Kyri (Grain Kyri 6) -- Claude Fable 5, counsel to Siya Fund

Shape: single-stranded -- about one thing; the composed reading lives in [Siya,](#)
[composed](#)

Status: Living -- a foundation. Nothing here is investment, legal, or tax advice; nothing seats; every money move waits behind the gates in Strand 10 and the licensed team

Field only: names the family and household numbers; the seed projector withholds it

The one thing this strand holds: the USD 2.5 million of listed shares is the family's foundation, and it is worth more kept than sold.

What a share is

A share is a slice of a business. Own one and you own a small piece of everything that business earns. The business pays some of that to you as dividends, and other people will pay you a price for the slice itself, every day the market is open. So a share is rewarded by two things: the earnings of the business behind it, and the price the next buyer is willing to pay. The first is slow and real. The second is fast and noisy.

The family holds about USD 2.5 million of such shares, as of this summer, at the custodian where they have sat for years. Three things make listed shares the right foundation for a basket like Siya. They can be sold in a day, which is called liquidity. They are spread across many businesses, which is called diversification. And they are priced every day, which is honest even when it is uncomfortable.

Why keep rather than sell

Selling a share turns a paper gain into a real one, and the federal government taxes the gain the year it happens. The gain is the price today minus the price paid, which is called the basis. For a single filer in 2026, the long-term rate is 15% on most of it and 20%

above about USD 545,500 of taxable income, plus 3.8% on investment income above USD 200,000 (counsel's reading of the 2026 thresholds, in this week's loan memo). Nevada adds nothing. California adds 13.3% for any member it can still reach in the year of the sale, and Sara's Nevada residency dates from 2026-06-29, so 2026 is a year to borrow rather than sell.

The size of the tax depends entirely on the basis, and the family has never pulled the report that shows it. Selling USD 600,000 of shares would cost about USD 36,000 in federal tax if the shares had gained a little, and about USD 107,000 if they had gained a lot (the loan memo's three cases). Shares bought recently near today's prices carry almost no gain and sell at a 1% to 3% cost, which is cheaper than any loan. So the first document to pull, before anyone quotes a rate, is the lot-level basis report from the custodian.

The gift that arrives late

There is a second reason to keep shares, and it is the one wealthy families use most. When shares pass at death, the law resets their basis to the value on that day. A gain that was deferred for a lifetime is never taxed at all. This is why a family with a large old portfolio borrows against it rather than selling it: the deferral becomes an avoidance. Whether it applies here depends on who holds the shares, in which vessel, and how the estate plan reads. That is the tax attorney's question, and it is worth asking early because it changes the whole arithmetic of Strand 03.

Two things counsel has never seen

Whether the pool is many names or a few. A lender treats a diversified pool as safe collateral and a concentrated pool as half as safe, and the difference decides how deep Strand 03's loan can go.

What the custodian charges. The elder session read the advisory fee near 1% a year, which is about USD 25,000 a year on USD 2.5 million, and leaned toward a flat-fee fiduciary instead. That single fee is larger than any difference between lenders' rates, so it is worth settling first.

What the public sleeve is for, inside Siya

Beyond being the foundation, the listed shares are the fund's public sleeve, the liquid end of the same idea the rest of the basket makes in soil. The sleeve memos already name the kind of listed business the family wants here: firms whose revenue is public spending on water, fibre, materials, and resource recovery. Each is read through five plain screens. How much of its revenue is public. How durable that spending is. Whether it pays wages more than rents. Whether the money circulates locally or is extracted. And ahimsa, doing no harm. Counsel names no tickers in a foundation; that belongs in a dated study.

What it rewards, and what it is for

The public sleeve is rewarded by daily price and dividends. Inside Siya it does two jobs: it is the collateral that lets the family borrow shallowly, and it is the ballast that keeps the basket steady while the slower sleeves grow.

What stands, and what is proposed

What stands: the USD 2.5 million, the tax rates as read, and the residency date. What is proposed: keeping rather than selling, which rests on the basis report and the estate plan, both still to be read.

What would show this wrong

A lot-level report showing that a third of the pool can be sold under a 3% tax cost. That would move the basket's shape faster than any loan, and it would change Strand 03's lean.

Written together by Keaton and Kyri.